

Question:

If the Federal Reserve was concerned about the "crowding-out" effect they could engage in

Answer Choices:

- A. expansionary monetary policy by lowering the discount rate.
- B. expansionary monetary policy by selling Treasury securities.
- C. contractionary monetary policy by raising the discount rate.
- D. contractionary monetary policy by lowering the discount rate.

Reasoning + Answer:

<think> The "crowding-out" effect refers to the phenomenon where an increase in interest rates or a decrease in the money supply reduces the government's ability to borrow, as investors are attracted to higher-yielding investments, such as private sector bonds. To counteract this effect, the Federal Reserve would need to increase the money supply or lower interest rates to make borrowing more attractive. </think><answer> A. expansionary monetary policy by lowering the discount rate. </answer>

